



Strategic Analysis and Valuation

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Sources: SEC, FactSet, Capital IQ, Yahoo Finance, Wall Street Journal, Bloomberg, Patsnap, Mintz, Reuters,



Executive Summary

Company Analysis

Figma is a US based software company founded in 2012, headquartered in San Francisco, CA, serving ~13M monthly users including 95% of the Fortune 500, providing collaborative design, prototyping, and product development solutions for designers, developers, and enterprises.

Industry Overview

Figma is a global leader in collaborative and cloud-native design software, best known for *Figma Design*, *FigJam*, and *Dev Mode*. They hold a dominant position in the global software market

Valuation Range

Precedent transactions, comparable companies, and discounted cash flow analysis yielded a valuation range of \$7.53 to \$82.85

Recommendation

I recommend that Adobe acquire Figma at a valuation of \$35 - \$40 per share representing a premium of 40%-60%



Company Analysis

Figma Background

- Founded 2012 by Dylan Field and Evan Wallace out of Brown University
- Based in San Francisco, CA. 8 international offices
- Developed as a browser-based collaborative design and product-development platform
- Originally started as a drone company
- Backed by Sequoia Capital, Andreessen Horowitz, Greylock, Index Ventures, Kleiner Perkins – pre-IPO
- ~ 1,886 Employees

Public Market Overview

- IPO July 31st, 2025 (NYSE:FIG) @ \$33.00 a share
- Market cap ~\$12.41B, share price ~23.29
- 52-week range: \$16.60 - \$91.00
- All Time High – 142.92 on July 31st, 2026
- All Time Low – 16.60 on April 29th, 2026
- Q2 revenue exceeded expectations, but shares fell as rising AI infrastructure costs compressed margins

Key Figures



Dylan Field
Co-founder, CEO & President. Accepted Thiel Fellowship junior year to start Figma



Evan Wallace
Co-founder, & ex-CTO. Left company in 2021, focusing on small projects and philanthropic desires



Praveer Melwani
CFO since 2022. Steered company through Adobe deal collapse and IPO



Loredana Crisan
CDO, recently expanded to lead product function after CPO's departure; now central to Figma's AI strategy

Recent News

- [Along with above expectation Q2 revenue report, Figma commits to heavy AI infrastructure and beta product investment \(Yahoo Finance\)](#)
- Figma acquired Weavy for \$200M cash in Oct 2025  Weavy
- [CEO Dylan Fields forfeited \\$46 million in Class B stock in an effort to rebuild investor confidence in face of AI disruption fears \(Bloomberg\)](#)
- [Adobe agreed to acquire Figma for \\$20B in 2022 until regulatory scrutiny halted the deal, leaving Adobe responsible for a \\$1B fee \(Yahoo Finance\)](#)

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Business Model

Revenue Model

- 'Per Seat' revenue model
- Role-based seat pricing
- AI Credits
- Free-to-paid funnel

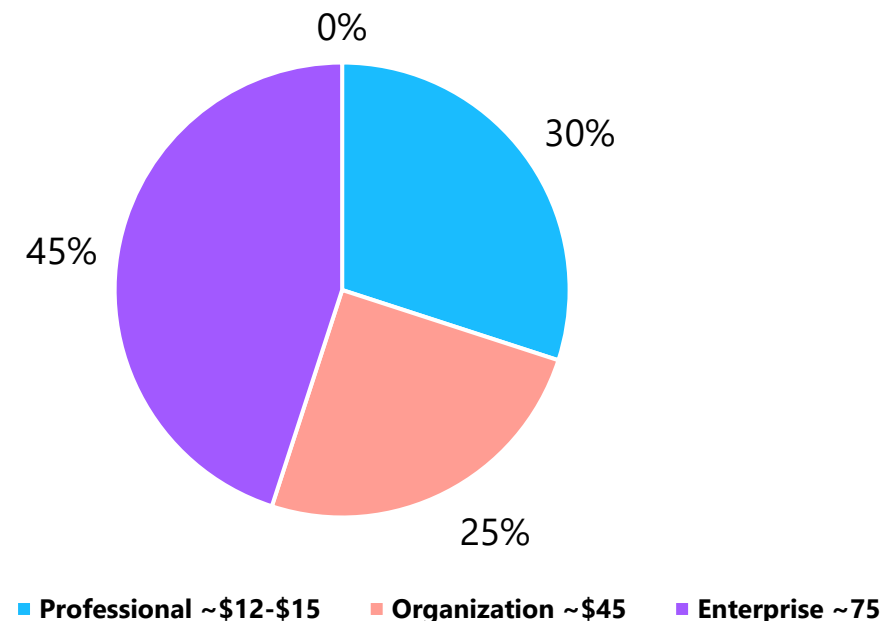
Threat

AI-native tools:
Emerging AI tools directly disrupt the need for traditional software to create the same designs

Moat

- Browser-based software
- Growing revenue with growing corporations
- Multi-team dependency
- High switching costs

Revenue By Plan



Tier	Price	Design & Prototyping	Collaboration	AI	Design Systems	Dev Mode	Enterprise Admin & Security	Advaced Governance
Starter	\$0	✓	✓	Limited	×	×	×	×
Professional	~\$12-\$15	✓	✓	✓	✓	✓	×	×
Organization	~\$45	✓	✓	✓	✓	✓	✓	×
Enterprise	~75	✓	✓	✓	✓	✓	✓	✓

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SWOT Analysis



Strengths	Weaknesses
• Browser-based & multiplayer design contrasts competitors • Diversified products – <i>FigJam, Slides, Devmode, Buzz, Sites</i>, reduces reliance on a single one • Strong talent recruiting pull as an AI-forward, design-native brand • Loved by end users (designers), not just IT buyers driving widespread brand awareness and likeness • Cash-rich balance sheet, no traditional debt	• Dylan Field has led since founding in 2012 which gives Figma key-person risk • Recent IPO causes post-IPO costs (compliance, reporting) • Failed Adobe deal (regulation blocked in 2023) forced an alternate unexpected plan • With just over a year as a public company Figma has yet to prove sustained net income • Newer product lines still unproven at scale
Opportunities	Threats
• Cash-rich position allows from M&A transactions which could benefit Figma in the AI race • Plugin ecosystem is large and could be monetized • Have a large international consumer base, could expand to get larger enterprises abroad • Figma is building towards autonomous “agents” that can fully execute tasks rather than helping • Education/student focus to penetrate the youth and begin brand recognition early	• If AI adoption is slow, talent poaching risk from stronger AI labs will be inevitable • Disproportionate reliance on a small number of large accounts for revenue • AI pivot may raise R&D costs without matching revenue • Recent IPO creates stock volatility on growth slowdown • Large enterprises hesitant to join due to security concerns in holding vital resources on the platform

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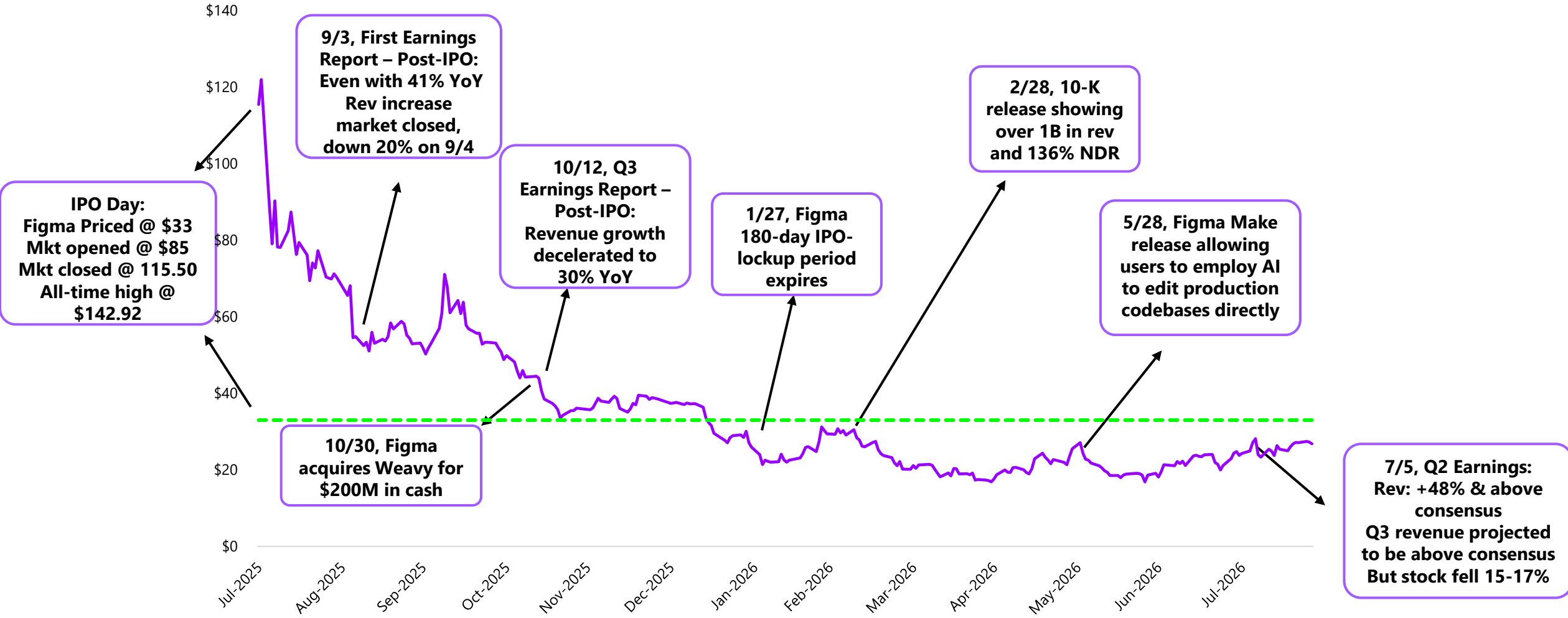
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Annotated Stock Chart



Figma, Inc. (NYSE:FIG) - Share Pricing



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Industry Overview

Headwinds

- ~450k customers and only ~10% spend over \$100k
- Enterprise penetration is slowing, 95% of Fortune 500 already use Figma
- Seat-based pricing is vulnerable if AI tool decrease the number of seats needed for a project
- 85% of MAUs are outside the US but they make up only 53% of revenue
- Some may use Figma as a starting point to direct generative AI to finish the project

Tailwinds

- 91% gross margins, ~18-month CAC payback
- NRR has held 125-134% for six straight quarters
- ~70% of enterprise deals start on Professional plan
- MAUs grew 70% QoQ in Q4 2025 showing resilience through AI wake
- **First and most dominant browser-based software**
- Difficult to replicate the “multiplayer” aspect of the software

Competitive Landscape

Top 5 Competitors:

Sketch, Adobe XD, Framer, Penpot, Canva



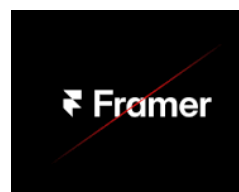
Canva



penpot



Penpot:
The open-source design platform
alternative to Figma



Trends

- AI-generated UI design is the biggest question but currently 72% of designers report to use AI tools
- Users employ many tools for different tasks rather than an all-in-one
- Current industry-wide R&D and talent cost inflation from AI race
- Toolstacks are getting more crowded and less stable
- Market reflects disruption fears stemmed from AI concerns

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Income Statement



	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Net Revenue	\$504.9	\$749.0	\$1,055.8	\$1,446.4	\$1,808.1	\$2,115.4	\$2,432.7	\$2,724.7
Cost of Goods Sold (Cost of Sales)	(44.5)	(87.5)	(185.5)	(260.4)	(318.9)	(365.7)	(412.1)	(452.4)
Gross Profit	460.4	661.5	870.3	1,186.1	1,489.1	1,749.7	2,020.6	2,272.3
Operating Expenses	(438.0)	(1,538.9)	(2,160.7)	(1,034.2)	(1,254.0)	(1,423.1)	(1,587.5)	(1,724.7)
Operating Income (EBIT)	\$22.3	(\$877.4)	(\$1,290.4)	\$151.9	\$235.1	\$326.6	\$433.1	\$547.6
Net Interest Income	19.4	60.6	65.6	—	—	—	—	—
Net Other Income	1,000.0	23.8	(0.8)	—	—	—	—	—
Profit Before Tax (PBT)	1,041.7	(793.0)	(1,225.6)	151.9	235.1	326.6	433.1	547.6
Income Tax Expense	660.1	(61.0)	24.8	29.0	51.0	98.0	139.0	161.0
Net Income	\$381.6	(\$732.0)	(\$1,250.4)	\$122.9	\$184.1	\$228.6	\$294.1	\$386.6
Adjusted EBITDA Bridge								
EBIT	22.3	(877.4)	(1,290.4)	151.9	235.1	326.6	433.1	547.6
Plus: D&A	8.5	7.7	15.6	13.7	18.8	24.8	31.5	38.6
EBITDA	30.8	(869.7)	(1,274.8)	165.6	253.9	351.4	464.6	586.2
Plus: Non-Recurring Items	(8.5)	(7.7)	(15.6)	—	—	—	—	—
Adjusted EBITDA	\$22.3	(\$877.4)	(\$1,290.4)	\$165.6	\$253.9	\$351.4	\$464.6	\$586.2
	6.11%	-116.11%	-120.74%	11.45%	14.04%	16.61%	19.10%	21.52%

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Selected Projections



Revenue Growth YoY	48.4%	41.0%	37.0%	25.0%	17.0%	15.0%	12.0%	
COGS % of Revenue	8.8%	11.7%	17.6%	18.0%	17.6%	17.3%	16.9%	16.6%
SG&A % of Revenue	86.8%	205.5%	204.7%	71.5%	69.4%	67.3%	65.3%	63.3%

Stock-Based Compensation Schedule

	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Beginning Balance	170.6	173.3	1,121.8	\$2,950.0	\$3,410.0	\$3,903.0	\$4,406.0	\$4,917.0
Plus: New Stock Issuances	--	0.9	393.1	--	--	--	--	--
Plus: Stock-Based Compensation Expense	2.7	947.6	1,364.0	460.0	493.0	503.0	511.0	514.0
Ending Balance	173.3	1,121.8	2,878.9	\$3,410.0	\$3,903.0	\$4,406.0	\$4,917.0	\$5,431.0
Stock-Based Compensation Expense % of Revenue	0.5%	126.5%	129.2%	31.8%	27.3%	23.8%	21.0%	18.9%

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Comparable Companies Analysis

PLG Collaboration & Workflow SaaS

	Latest Price	Market Cap	EV	Revenue Growth	Revenue	EBITDA	EBITDA Margin	EV/Revenue	EV/EBITDA
TEAM	\$244.17	\$47,557.22	\$47,307.26	43.12%	\$7,464.00	\$1,971.00	26.41%	6.34x	24.00x
ASAN	\$9.76	\$2,033.40	\$1,646.40	9.24%	\$790.80	(\$149.40)	-18.89%	2.08x	-11.02x
MNDY	\$32.77	\$4,097.88	\$3,014.79	19.40%	\$1,471.00	\$245.00	16.66%	2.05x	12.31x
FIG	\$27.44	\$14,614.14	\$13,264.88	36.11%	\$1,437.00	\$155.70	10.84%	9.23x	85.20x
Low	\$9.76	\$2,033.40	\$1,646.40	9.24%	\$790.80	(\$149.40)	-18.89%	2.05x	-11.02x
Mean	\$95.57	\$17,896.17	\$17,322.82	23.92%	\$3,241.93	\$688.87	8.06%	3.49x	8.43x
Median	\$32.77	\$4,097.88	\$3,014.79	19.40%	\$1,471.00	\$245.00	16.66%	2.08x	12.31x
High	\$244.17	\$47,557.22	\$47,307.26	43.12%	\$7,464.00	\$1,971.00	26.41%	6.34x	24.00x

Design & Engineering Software

	Latest Price	Market Cap	EV	Revenue Growth	Revenue	EBITDA	EBITDA Margin	EV/Revenue	EV/EBITDA
ADSK	\$315.92	\$5,501.75	\$54,187.75	34.28%	\$8,207.00	\$3,352.00	40.84%	6.60x	16.17x
PTC	\$394.15	\$16,800.89	\$17,966.46	-0.59%	\$2,723.00	\$1,338.00	49.14%	6.60x	13.43x
FIG	\$27.44	\$14,614.14	\$13,264.88	36.11%	\$1,437.00	\$155.70	10.84%	9.23x	85.20x
Low	\$315.92	\$5,501.75	\$17,966.46	-0.59%	\$2,723.00	\$1,338.00	40.84%	6.60x	13.43x
Mean	\$355.04	\$11,151.32	\$36,077.11	16.84%	\$5,465.00	\$2,345.00	44.99%	6.60x	14.80x
Median	\$355.04	\$11,151.32	\$36,077.11	16.84%	\$5,465.00	\$2,345.00	44.99%	6.60x	14.80x
High	\$394.15	\$16,800.89	\$54,187.75	34.28%	\$8,207.00	\$3,352.00	49.14%	6.60x	16.17x

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Comparable Companies Analysis – Share Price Calculation

Figma should be valued using an EV/Revenue Multiple between 2.05x – 6.60x for a value between \$4.80 - \$15.47 per share

Figma Implied Enterprise Value

	EV/Revenue	Implied Enterprise Value	Implied Share Price
Low	2.05x	\$2,945.11	\$4.80
Mean	4.73x	\$6,802.80	\$11.09
High	6.60x	\$9,487.97	\$15.47

Methodology

Figma operates as a user-friendly SaaS but also found success through their design & engineering software. However, revenue isn't explicitly split between the two, so we average both sets of public comps to find our valuation multiple

PLG Collaboration & Workflow SaaS Comps



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Precedent Transaction Analysis

Figma should be valued using an EV/Revenue Multiple between 16.1x – 46.6x for a value between \$27.73 - \$80.15 per share

Target	Description	Acquirer	Date	TV	Growth	Revenue	EBITDA	Margin	TV/Revenue	TV/EBITDA
GitHub	Developer collaboration and code management platform	MicroSoft	6/14/2018	\$7,500	40.00%	\$300.00	\$15.0	5.00%	25.0x	500.0x
Slack Technologies	Business messaging and workplace collaboration platform	Salesforce	12/1/2020	\$29,346	43.18%	\$630.40	(\$531.3)	-84.28%	46.6x	(55.2x)
HashiCorp	Cloud infrastructure management and automation software	IBM	4/24/2024	\$7,664	22.53%	\$475.90	(\$296.1)	-62.22%	16.1x	(25.9x)
Tableau Software	Data analytics and business intelligence platform	Salesforce	6/10/2019	\$17,378	31.73%	\$877.10	(\$146.2)	-16.67%	19.8x	(118.9x)
Low									16.1x	(118.9x)
Mean									26.9x	75.0x
Median									22.4x	(40.6x)
High									46.6x	500.0x
Figma					36.11%	\$1,055.80	(\$1,274.8)	-120.74%		

Implied Share Value

	TV/Revenue	Implied Enterprise Value	Implied Share Price
Low	16.1x	\$17,001.95	\$27.73
Mean	28.0x	\$29,543.21	\$48.18
High	46.6x	\$49,148.46	\$80.15

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Discounted Cash Flow Analysis



Free Cash Flow Projections

	Year 1	Year 2	Year 3	Year 4	Year 5
EBIT	\$151.9	\$235.1	\$326.6	\$433.1	\$547.6
(-): Tax	(27.2)	(42.0)	(58.4)	(77.4)	(97.9)
(+): D&A	13.7	18.8	24.8	31.5	38.6
(+/-): Change in NWC	13.8	(11.5)	(21.6)	43.6	(36.7)
(-): Capital Expenditures	(20.5)	(20.0)	(35.0)	(39.8)	(41.8)
Unlevered Free Cash Flow (UFCF)	\$131.7	\$180.4	\$236.5	\$390.9	\$409.8
Discounted UFCF	\$119.1	\$147.5	\$174.9	\$261.4	\$247.8

Implied Enterprise Value

Perpetuity Growth Method

Long-Term Growth Rate (g)	3.2%
Year 5 Cash Flow	\$409.8
Terminal Value	\$5,729.0
Discounted Terminal Value	\$3,464.6
Stage 1 Value (Years 1 - 5)	\$950.7
Stage 2 Value (Years 5+)	\$3,464.6
Total Enterprise Value	\$4,415.3

Exit Multiple Method

Year 5 Revenue	\$2,724.7
Current EV/Revenue Mult Avg	12.3x
Terminal Value	\$33,527.8
Discounted Terminal Value	\$20,275.5
Stage 1 Value (Years 1 - 5)	\$950.7
Stage 2 Value (Years 5+)	\$20,275.5
Total Enterprise Value	\$21,226.2

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DCF Analysis – WACC & Share Price Calculation



Figma should be valued using an EV/Revenue Multiple between 5.46x – 8.59x for a value between \$12.80 - \$20.13 per share

Capitalization

Equity & Debt Weights:

Price Per Share		\$28.82
Fully-Diluted Share Count (millions)		613.2
Market Capitalization (Equity Value)		\$17,672.7
		% of Total
Debt Value	\$0.0	–
Equity Value	17,672.7	100%
Total Capitalization	\$17,672.7	100%

WACC Calculation

Cost of Equity:

Risk Free Rate	4.7%
Beta	1.31
Equity Risk Premium	4.5%
Cost of Equity	10.6%

Share Price Calculation

Perpetuity Growth Method

Total Enterprise Value	\$4,415.3
Less: Debt	–
Plus: Cash	1,655.9
Equity Value	\$6,071.2
Fully-Diluted Share Count (millions)	613.2
Equity Value Per Share	\$9.90

Share Price Calculation

Exit Multiple Method

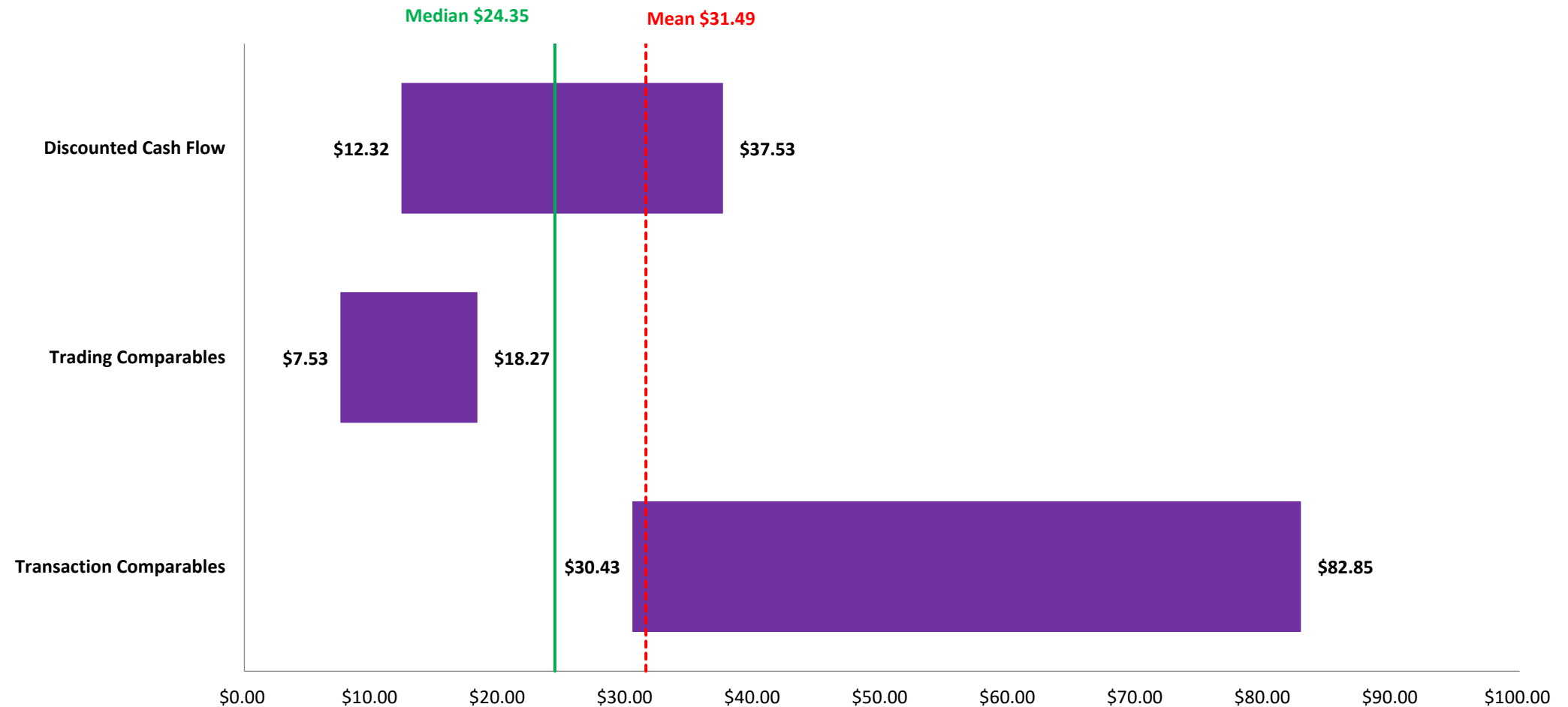
Total Enterprise Value	\$21,226.2
Less: Debt	–
Plus: Cash	1,655.9
Equity Value	\$22,882.1
Fully-Diluted Share Count (millions)	613.2
Equity Value Per Share	\$37.32

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Valuation Football Field



Figma Valuation Range



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Strategic Acquirer Business Overview - Adobe

Adobe Background	Business Segments				
• Ticker Symbol: ADBE (NYSE) • Headquarters: San Jose, California • Creator of Photoshop, Illustrator, Acrobat, Premiere • Global leader in creative and document software • Description: Adobe designs software that helps individuals and businesses create, edit, and manage content across creative, document, and marketing workflows. Founded in 1982, it has grown into one of the most influential players in software.	• Segments: • Digital Media: Create and edit digital content ~74% • Photoshop, Illustrator, Premiere Pro, Lightroom, InDesign, Firefly, Acrobat • Digital Experience: Marketing for businesses ~25% • AEP, AEM, Marketo • Publishing & Advertising: Create and manage ads • FrameMaker & Robohelp				
Last Box	Recent Company News				
• If AI adoption is slow, talent poaching risk from stronger AI labs will be inevitable • Disproportionate reliance on a small number of large accounts for revenue • AI pivot may raise R&D costs without matching revenue • Recent IPO allows for stock volatility on growth slowdown • Large enterprises hesitant to join due to security concerns in holding vital resources on the platform	• Adobe to Focus on 'Freemium' User Growth Over Short-Term Revenue Gains as CFO Exits (WSJ) • BofA and Morgan-Stanley downgraded ADBE citing risks from generative AI • IBM Loses \$69 Billion of Market Value in One Day • Adobe acquires Semrush and launches "Brand Visibility" app helping users analyze and optimize digital advertising • CEO Shantanu Narayen announces he is stepping down once successor is found				
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 **Adobe** should acquire  **Figma** at an EV/Revenue Multiple between **15x – 17.x** or **\$35-\$40** per share

Acquisition Thesis

1. After the fall of AdobeXD, Adobe is missing a desktop creative tool allowing for cloud-native collaboration which is where design teams are shifting towards rapidly
2. Figma strengthens Adobe's position at the center of the design-to-development workflow while pushing beyond Adobe's traditional "creative-only" user base
3. Figma's collaborative canvas and user engagement data gives Adobe a direct channel to embed Firefly and other AI-native tools that Figma currently lacks rather than its current standalone

Revenue Synergies

- **Cross-sale:** Bundle Figma with Creative Cloud and Adobe Express to buff subscription
- **Marketing:** Use current Adobe users and marketing to promote the use of Figma in sub bundles
- **AI Monetization:** Blend Firefly AI into Figma to allow for higher bundle pricing and drive ARR
- **Data:** Use Figma's current usage data to market SaaS platforms to drive revenue and promote new services to lower paying collaborative users

Cost Synergies

- **Cloud consolidation:** Switch Figma's cloud hosting and data infrastructure to Adobe's existing
- **G&A and R&D overlap:** Eliminate redundant public company costs and consolidate overlapping investment in the search for similar features, especially in the AI race
- **Marketing:** Lower costs by optimizing existing Adobe marketing strategy and relationships

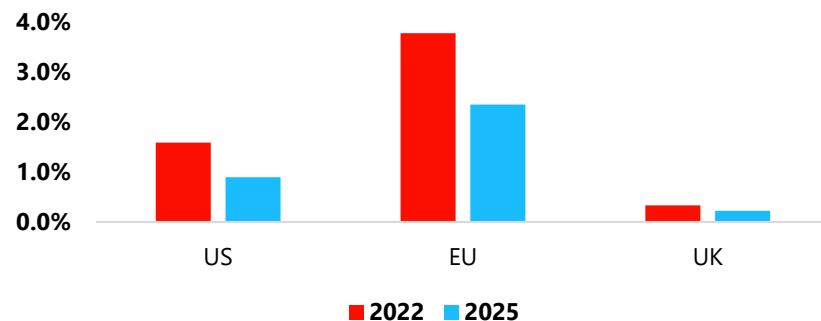
Past Deal Background

In 2022 Adobe offered to buy Figma for a TV of \$20B which was then rejected by in late 2023 due to anti-trust laws both foreign and domestic. This resulted in Adobe paying Figma a fee of \$1B as per the original contract

US Regulatory Shift

- Under Chairman Lily Khan the FTC adopted strict merger regulatory guidelines in 2023
- The Trump administration then rolled these back stating they “burden AI innovation” (Mintz)
- Then in 2026 the Supreme Court ruled in favor of the plaintiff in *Trump v. Slaughter* allowing the President to remove FTC commissioners without cause

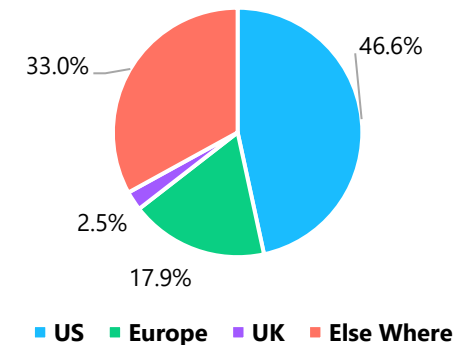
% Regulatory Intervention

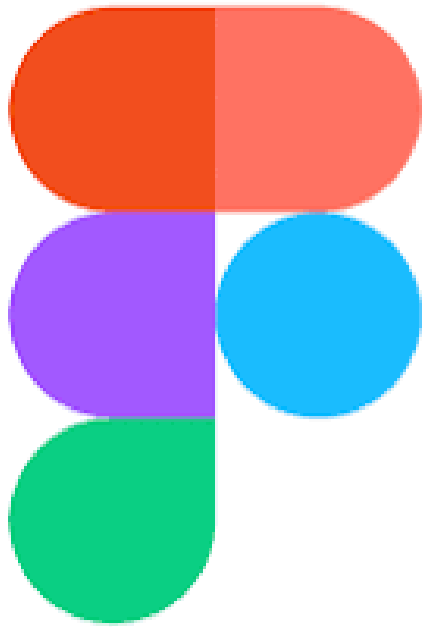


UK & EU Regulatory Shift

- On May 15, 2025 published Strategic Steer to the Competition and Markets Authority, directing the Competition and Markets authority to prioritize Economic growth
- In April and May of 2026 EU Anti-trust Chief Ribera updated guidance to allow companies to argue “theories of benefit” when pending a transaction

% of Revenue





Figma

Appendix - Drivers



Income Statement Drivers

Key Metrics

Revenue Growth YoY	48.4%	41.0%	37.0%	25.0%	17.0%	15.0%	12.0%	
COGS % of Revenue	8.8%	11.7%	17.6%	18.0%	17.6%	17.3%	16.9%	16.6%
SG&A % of Revenue	86.8%	205.5%	204.7%	71.5%	69.4%	67.3%	65.3%	63.3%
Adjusted EBITDA Margin	4.4%	(117.1%)	(122.2%)	11.4%	14.0%	16.6%	19.1%	21.5%
Adjusted EBITDA Growth (YoY)	(4,027.5%)	47.1%	(112.8%)	53.4%	38.4%	32.2%	26.2%	
Net Income Growth (YoY)	(291.8%)	70.8%	(109.8%)	49.9%	24.1%	28.7%	31.5%	
Income Tax Rate	(63.4%)	(7.7%)	2.0%	(19.1%)	(21.7%)	(30.0%)	(32.1%)	(29.4%)
D&A % of Revenue	1.7%	1.0%	1.5%	0.9%	1.0%	1.2%	1.3%	1.4%

Balance Sheet Drivers

Working Capital Assumptions

Accounts Receivable Days	65 days	64 days	86 days	75 days	76 days	62 days	58 days	61 days
Inventory Turns	—	—	—	—	—	—	—	—
Prepaid Expenses as % of Revenue	5.6%	6.5%	9.6%	14.3%	19.5%	22.8%	20.6%	19.0%
LT Operating Assets % of Revenue	4.9%	13.0%	12.6%	26.7%	24.2%	21.9%	26.9%	27.5%
Accounts Payable Days	30 days	18 days	9 days	14 days	14 days	10 days	9 days	8 days
Accrued Liabilities as % of Total Expenses	109.6%	26.6%	32.8%	72.2%	72.8%	69.4%	66.6%	63.4%
Current Portion of LT Debt as % of Revenue	2.5%	1.5%	0.2%	—	—	—	—	—
LT Operating Liabilities % of Revenue	2.7%	3.0%	5.8%	0.5%	0.5%	0.5%	0.9%	1.0%
Net Working Capital [CA (Excl Cash) - CL]	(\$426.6)	(\$266.8)	(\$427.3)	(\$441.1)	(\$429.6)	(\$408.1)	(\$451.7)	(\$415.0)
Net Working Capital % of Revenue	(84.5%)	(35.6%)	(40.5%)	(30.5%)	(23.8%)	(19.3%)	(18.6%)	(15.2%)

Executive Summary

Company Analysis

Industry Overview

Valuation

Recommendation

Appendix

Appendix – TV/Patents



Transaction Comps

Target	TV	Patents	TV/Patents
GitHub	\$7,500	25	300.00x
Slack Technologies	\$29,346	81	9.55x
HashiCorp	\$7,664	12	64.48x
Tableau Software	\$17,378	274	2.82x
Low			2.82x
Mean			94.22x
Median			37.02x
High			300.00x
Figma		141	

Implied Valuation - LTM TV/Patents

	<u>Mean</u>	<u>Median</u>
Peer TV/Patents Multiple	94.2x	37.0x
LTM Patents	141	141
Enterprise Value	\$13,284	\$5,220
Less: Debt	–	–
Plus: Cash	1,656	1,656
Equity Value	\$14,940	\$6,876
Shares Outstanding	613	613
Implied Price Per Share	\$24.36	\$11.21

Trading Comps

	EV	Patents	EV/Patents
TEAM	\$47,307.26	1400	33.79x
ASAN	\$1,646.40	190	8.67x
MNDY	\$3,014.79	160	18.84x
ADSK	\$54,187.75	1740	31.14x
PTC	\$17,966.46	482	37.27x
Low			8.67x
Mean			25.94x
Median			31.14x
High			37.27x
Figma		141	

Implied Valuation - NTM EV/Patents

	<u>Mean</u>	<u>Median</u>
Peer EV/Patents Multiple	25.9x	31.1x
NTM Patents	141	141
Enterprise Value	\$3,658	\$4,391
Less: Debt	–	–
Plus: Cash	1,656	1,656
Equity Value	\$5,314	\$6,047
Shares Outstanding	613	613
Implied Price Per Share	\$8.67	\$9.86

LBO Analysis

Figma should be valued using an EV/Revenue Multiple of 22.4x for an Enterprise Value of \$32.409 with an implied MOIC of 0.0x and an implied IRR of 0.00%

LBO Analysis Using Projections from 3-Statement Financial Model

Calculate Purchase Price

Revenue at Purchase	\$1,056
Purchase Multiple	22.4x
Purchase Price	\$23,657

Calculate Deal Funding

Sources		Uses	
Debt	–	Purchase Business	\$23,657
Owner Investment	\$23,657		–
Total Sources of Funds	\$23,657	Total Uses of Funds	\$23,657

Calculate Cash Flows

Revenue Growth
Interest Rate
Tax Rate

27.9%
8.0%
17.9%

	Year 1	Year 2	Year 3	Year 4	Year 5
EBITDA	\$166	\$254	\$351	\$465	\$586
(-) Interest Expense	–	–	–	–	–
Pre-Tax Cash Flow (w Interest)	\$166	\$254	\$351	\$465	\$586
(-) Taxes	29	51	98	139	161
Post-Tax Cash Flow	\$195	\$305	\$449	\$604	\$747

Calculate Exit Value

Revenue at Sale	\$2,725
Exit Multiple	22.4x
Sale Price	\$61,050

Calculate Exit Equity

Debt at Purchase	\$0
(-) Cumulative Cash Flow	(\$2,300)
Debt to Pay Off at Sale	(\$2,300)
Sale Price	\$61,050
(-) Debt to Pay Off at Sale	\$2,300
Owner Proceeds at Sale	\$63,349

Analyze Returns

Owner Investment at Purchase	\$23,657
Owner Proceeds at Sale	\$63,349
Return (x) (MOIC)	2.7x
Return (%) (IRR)	21.8%

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